01

COMPOUND INTEREST

By the time you finish this class, you have already chosen to lose money. Here's how much, and what to do about it before Sunday night.

CK ACADEMY

A COLLECTIVE KINDNESS INITIATIVE

01 READ THIS FIRST

You owe yourself money today.

Most people who read this class will close it, agree with everything, and change nothing. We've watched it happen for years. This time we're not letting that happen.

There's no "What you'll learn" page in this book. By Sunday at 9pm, you will have either opened a Roth IRA and funded it, or you'll have failed this class. There is no third option. We will check.

Below is the math that explains why this is urgent. After the math, you do the work.

WHAT THIS CLASS IS NOT

Not a lecture on compound interest. Not a comparison of brokerages. Not a debate about index funds vs picking stocks. This is the page that ends with you having an account that earns money while you sleep.

02 THE MIRROR

Open your bank app.

WRITE THE NUMBERS FROM YOUR OWN LIFE

Pull up your primary checking account and your last three pay periods. We need real numbers, not estimates. If you don't know these numbers, that itself is a problem this class will fix.

1. Your average monthly take-home (after tax)	$ _____
2. Multiply by 0.10. This is the floor of what you should be investing monthly.	$ _____
3. What you actually invested last month (Roth, 401k, IRA, anything)	$ _____
4. The gap between row 2 and row 3	$ _____

If row 4 is greater than $0, you are paying for that gap with your future. The math below shows you exactly how much. The action at the end of this class closes the gap before next paycheck.

03 WHY THIS HAPPENS

Avi. Yossi.

Two guys in your community. Same yeshiva. Same starting salary. Same $300 a month. The only difference is when they started.

AVI

STARTED 22, STOPPED 37

MONTHLY CONTRIBUTION
$300

YEARS INVESTING
15

TOTAL INVESTED
$54,000

BALANCE AT 67
$1.4M

YOSSI

STARTED 37, SAVED UNTIL 67

MONTHLY CONTRIBUTION
$300

YEARS INVESTING
30

TOTAL INVESTED
$108,000

BALANCE AT 67
$500K

Yossi put in $54,000 more than Avi and ended up with $900,000 less. Same monthly amount. Same 9% market return. The math is not a trick. Time outweighs amount, exponentially, and your 20s are the window where time is cheapest.

> **Each year you delay isn't worth one year of contributions. It's worth those contributions plus all future growth they would have generated.**

03 WHAT WAITING COSTS

$170K

What 12 months of waiting costs you over 45 years at typical returns. Apply this to your row-4 number from the mirror. The cost is yours.

If your row-4 gap was $200/month, waiting 12 more months costs you roughly $113,000 in future wealth. If it was $500/month, the cost is over $283,000. You're not losing $200, you're losing every dollar that $200 would have grown into.

04 THE RULE THAT REPLACES EVERY EXCUSE

The rule.

THE 30X TEST

Before any purchase over $300, multiply by 30. If you wouldn't pay that amount for it in 40 years, don't buy it now.

$300 today, invested at 9% over 40 years, becomes about $9,400. The new headphones, the upgraded sheitel, the third pair of shoes. Multiply by 30. If $9,000 of future-you's money isn't worth this thing, the answer is no.

WORTH $9,000

Beautiful Shabbos candlesticks used 50 times a year, passed to your kids. Mikvah membership. A tool that earns income.

NOT WORTH $9,000

Designer suit worn 8 times. Latest phone when last year's still works. Clothing your kid will outgrow in 6 weeks.

This rule is portable. You can apply it Tuesday at 4pm in a store without reopening this book. That's the test of a real rule.

05 WHERE THIS FAILS

You'll quit at the form.

You won't fail this class because you don't believe the math. You'll fail because you'll get to the Vanguard signup screen, see a field you don't recognize, and close the tab. Here are the exact moments you will quit, and how to push through each one.

TRAP 1 / THE BROKERAGE HOMEPAGE

Vanguard's homepage has many links. You won't know which to click. **Look for any button or link that says "Open an account" or "Get started."** Then choose Roth IRA, individual investor. Avoid anything that says "managed," "advisor," or "financial planning service." Those cost money for nothing.

TRAP 2 / THE INCOME FIELD

It will ask your annual income and employment status. You'll think this is a trap. It isn't. **Answer truthfully.** The IRS already knows. There's no minimum income; even $5,000/year qualifies.

TRAP 3 / THE INVESTMENT SELECTION

After funding, it will ask what to buy. There will be hundreds of options. **Pick VTSAX or VOO. Do not pick anything else.** Both buy the whole US market. Both have near-zero fees. Both will outperform 90% of paid managers over 30 years.

TRAP 4 / THE CONTRIBUTION SITS IN CASH

Most people open the account, transfer $50, and never actually buy the fund. **The money sits in cash earning nothing for years.** After your transfer settles in 2-3 days, log back in and execute the buy order. Set automatic monthly buying so this never happens again.

06 THE ACTION

BY SUNDAY, 9 PM

Do this. Now.

One action. Hard deadline. Spouse loop. Do not move to Class 02 until this is done.

01 **Go to vanguard.com on a laptop.** Look for "Open an account" or "Get started." Choose Roth IRA, individual account.

Fidelity.com or schwab.com work too. Pick one. Don't comparison shop for an hour. The exact button names change every year. The category does not.

02 **Fund $50 from your bank account** and set up automatic monthly contributions of $50 starting next month.

Increase the amount when income rises. $50 is the floor, not the goal.

03 **Two days later, log back in and buy VTSAX or VOO** with the funded cash. Set automatic investing so future contributions buy the fund without a manual step.

If VTSAX is unavailable, use VOO or VFIAX. Do not pick anything with "managed" or "target retirement 2050" in the name unless that's the only option.

04 **Screenshot the confirmation page.** Text it to your spouse with the words: "Class 01 done."

The screenshot is the deliverable. Your spouse seeing it is the accountability mechanism.

PROOF OF COMPLETION

A screenshot showing the Roth IRA account, the funded amount, and the confirmed buy order for VTSAX or VOO. Text to your spouse by Sunday 9pm. **If you don't have this screenshot, you did not complete this class.**

07 THE CONVERSATION

Tonight. With your spouse.

RULES

Phone away. 30 minutes. No defending past spending. No "we'll talk about it later." Specific numbers only. The goal is not agreement, it's clarity.

01 What was the gap number from row 4 of the mirror? Each of you say it out loud.

Most couples have never said this number to each other.

02 If we automated $X investing tonight, what specific line item are we cutting to make the math work?

Not "we'll be more careful." A specific cut: takeout, subscription, clothing budget.

03 What's the biggest purchase one of us made this year that would fail the 30x test?

Both of you answer. No defending.

04 If we had started investing $300/month at 22, how much would we have now? Subtract that from $1.4M to find the cost of waiting in our marriage.

Look at the actual number. Don't soften it.

05 By Sunday, who is responsible for opening the Roth, and who's holding them accountable?

Pick one. Sign the implicit contract.

SECTION TWO

Test.

10 questions. None of these can be answered from memory of the lesson. You'll need real numbers from your own life.

08 THE TEST

Test.

Each question requires real numbers, real names, or real decisions from your life. Do the work. Skipping defeats the point.

1. NUMBERS **Your monthly take-home, multiplied by 0.10. Write the number. Then write what you actually invested last month. The gap, in dollars. Then: at 9% for 40 years, what does that monthly gap cost you in future wealth?**

2. ACTION **Write the exact text message you will send your spouse on Sunday confirming the Roth is open, including: brokerage name, fund ticker, monthly contribution amount, day of month it fires, and which spending line you cut to fund it. The message must be sendable as written.**

3. DECISION **List three purchases over $300 you've made in the last 12 months. For each, calculate the 30x value. Mark each as PASS or FAIL on the test. The honest answers, not the ones that make you look good.**

4. REAL LIFE **Find one person in your community who started investing in their 20s. Ask them: what did you invest in, and what would you do differently? Write their name and their answer.**

5. TRAP TEST **You're at the Vanguard funding step and the system asks for your bank routing number. Where do you find your routing number, and what's the next thing you'll click after entering it? Specifics, not concepts.**

08 THE TEST, CONTINUED

6. NUMBERS Pick a number: $50, $100, $200, or $500 monthly. Calculate (with phone calculator, not a guess) what that grows to at 9% over 40 years. Then calculate what waiting one additional year costs you for that same monthly amount.

7. DECISION If you can only afford $25/month right now, what should you do this week? Be specific: which brokerage, which fund, which day, what spending you'll cut to find the $25.

8. REAL LIFE Name three people in your life (parents, in-laws, mentors) who you suspect have less retirement savings than they need. Now answer: at what age would each of them have needed to start investing $300/month to comfortably retire? Calculate.

9. TRAP TEST Three weeks after you set up auto-investing, your kid needs braces and the dentist wants $4,000. Your first instinct is to cancel the auto-invest "just for now." What do you actually do? Write your decision and the reasoning.

10. ACTION Tonight, before bed, take the screenshot of your Roth IRA account showing the buy order. Tape, paste, or staple it here. If the screenshot isn't here, you didn't do the work.

09 WHAT A STRONG ANSWER LOOKS LIKE

Reference.

These aren't right answers. They're examples of strong answers, written with real specificity. If yours are vaguer than these, redo them.

1. Strong: "Take-home $4,200. 10% = $420. Last month I invested $0. Gap is $420/month. At 9% over 40 years, that's $1.97M of future wealth I'm leaving on the table." Weak: "My take-home varies, and I do put some away." If you can't write specific numbers, you didn't do the mirror.

2. Strong: "Sara, Roth IRA opened at Vanguard, VTSAX, $200/month auto on the 5th, cutting our 3x/week takeout to 1x/week to fund it." Weak: "I'll set up investing soon." If your text doesn't have all 5 elements, rewrite it.

3. Strong: "$1,400 designer suit (worn 5 times, FAIL), $600 Yom Tov groceries (used over 8 days for 14 people, PASS), $400 headphones (work daily for 2 years, PASS)." Weak: "All my purchases were necessary." If everything passed, you didn't apply the rule honestly.

4. Strong includes a real name, what they invested in (Roth, 401k, brokerage, real estate), and at least one specific lesson. Weak: "My uncle invests, he says start early." Vague answers mean you didn't have the conversation.

5. Strong: "Routing number is at the bottom of any check, or in my bank app under Account Details. After entering it I confirm the dollar amount of the transfer and click Next. The transfer takes 2-3 business days." Weak: "I'd figure it out." If you don't know, log into your bank now.

6. Example, $200/month: At 9% over 40 years, $200/month grows to roughly $935,000. Waiting one year costs about $84,000 in future wealth. The number isn't $2,400 (one year of contributions), it's everything that money would have become. That's the cost of one year of waiting.

7. Strong: "Open Roth at Fidelity (no minimum) tomorrow. Auto-transfer $25 on the 1st. Cut one streaming service ($14/mo) and one weekly takeout coffee ($14/mo) to find the money." Weak: "I'd start when I have more money." The right answer is start at $25 now, raise it later.

8. Strong includes 3 names, specific savings estimates, and an honest calculation. The math: someone retiring at 67 needing $50K/year for 25 years needs roughly $1M, which requires about $300/month from age 25. Late starters need exponentially more.

9. Strong: "I do not cancel the auto-invest. I look at sinking funds (Class 03) for unexpected expenses. If they aren't built yet, I use the emergency fund or set up a one-time payment plan with the dentist. The $4,000 is a one-month problem; canceling investing is a 40-year problem." Weak: "It depends."

10. If the screenshot isn't here, you didn't do the work. Re-read the action page, complete it before Sunday, then come back to this question. Do not move to Class 02 with this incomplete.